BEFORE THE NATIONAL COMPANY LAW TRIBUNAL, PRINCIPAL BENCH

NEW DELHI

Company Petition No. CAA 123/PB/2018
With

COMPANY APPLICATION NO. (CAA) 120(PB) 2018

Judgment dated: 08.04.2019

CORAM:

CHIEF JUSTICE (RTD.) M.M. KUMAR

HON'BLE PRESIDENT

MR H.C. SURI

HON'BLE MEMBER (TECHNICAL)

IN THE MATTER OF:

Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

AND

IN THE MATTER OF SCHEME OF ARRANGEMENT

AMONGST

NAMAN BROADCASTING AND TELECOMMUNICATIONS PRIVATE LIMITED

(Demerged Company/Applicant Company-I)

And

SOFTLINE MEDIA NETWORK PRIVATE LIMITED

(Resulting Company/Applicant Company-II)

AND

SHARPLINE NETWORK PRIVATE LIMITED

(Resulting Company/Applicant Company-III)

Counsel for Petitioner:Mr. Ravi Sharma, Mr. Vyay Raunt Advs.

ORDER

M.M. KUMAR, PRESIDENT

1. This Joint petition has been filed by the Petitioner Companies under Sections 230 and 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the Scheme of Arrangement between the Petitioner Companies.

2. A perusal of the petition discloses that initially the First Motion joint application seeking direction for dispensing/convening the meeting of Shareholders and Creditors was filed before this Bench vide CA (CAA)

No. 120 (PB) 2018 and based on such joint application moved under Sections 230-232 of the Companies Act, 2013, the meetings of Equity Shareholders, secured creditors and unsecured creditors of both the Petitioner Companies were dispensed with, vide order dated 07.08.2018.

3. The Petitioners were directed to carry out publication in the English Daily 'Business Standard' (Delhi Edition) as well as in Hindi Daily 'Jansatta' (Delhi Edition). In addition to the public notice, notices were directed to be served on to the Regional Director (Northern Region), Registrar of Companies, NCT of Delhi and Haryana, the official liquidator, the Income Tax Department and to the other relevant sectoral regulators.

4. It is seen that the Petitioners have filed an affidavit dated 06.12.2018 affirming compliance of the order passed by the Tribunal. A perusal of the affidavit discloses that the petitioners have affected the newspaper publication as directed in one issue of the English Daily 'Business Standard' (Delhi Edition) on 05.12.2018 as well as in Hindi Daily 'Jansatta' (Delhi Edition) again on 05.12.2018 in relation to the date of hearing of the petition. Further, the petitioners have also affirmed that the copies of petition have been duly served to the Registrar of Companies, Regional Director, Northern Region, and Income Tax

Department and ministry of Information and Broadcasting in compliance of the order and in proof of the same acknowledgement made by the respective offices have also been placed on record.

5. The Regional Director has filed its representation on 08.01.2019, whereas no material objection has been raised by the Regional Director against the Scheme.

6. The Official Liquidator has filed its report dated 29.01.2019 wherein no specific objection has been raised against the approval of the Scheme. It is submitted in the report that the official liquidator has not received any complaint against the proposed Scheme from any person/party interested in the Scheme in any manner and that the affairs of the transferor companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest.

7. It is pertinent to note that vide order dated 14.03.2019, that despite numerous opportunities granted to the Income Tax Department, mo reply has been filed on their behalf.

8. However, in order to protect the interest of the revenue it is made clear that there shall be no limitation on the power of the Income tax Department

for recovery of pending Income Tax dues if any from petitioner companies, including imposition of penalties etc. as provided in law.

9. In the joint petition it has been affirmed that no proceedings under Section 210 to 227 of the Companies Act, 2013 are pending against the Petitioner Companies.

10. Certificates of respective Statutory auditors of both the petitioner companies have been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013.

11. It has been also affirmed by the petitioner companies that the Scheme is in interest of both the petitioner companies, their shareholders, creditors, employees and all concerned.

12. In view of the foregoing, upon considering the approval accorded by the members and creditors of both the Petitioner companies to the proposed Scheme, and the affidavit filed by the Regional Director, Northern Region, Ministry of Corporate Affairs and no objection of Department

of Income Tax, there appears to be no impediment in sanctioning the present Scheme. Consequently, sanction is hereby granted to the Scheme under Section 230 & 232 of the Companies Act, 2013. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with law.

13. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

14. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

15. **THIS TRIBUNAL DO FURTHER ORDER**

1. All property, rights and powers of Demerged Undertaking 1 be transferred without further act or deed, to the Transferee Company 1 and Demerged

Undertaking 2 to Transferee Company 2 and accordingly the same shall pursuant to Section 232 of the Act, be transferred to and vested in the Transferee Company 1 for all intents, purposes and interests of the Demerged Undertaking 1; and Transferee Company 2 for all intents, purposes and interests of the Demerged Undertaking 2, subject nevertheless to all changes now affecting the same and;

2. All the liabilities (if any) and duties of Demerged Undertaking 1 be transferred without further act or deed, to the Transferee Company 1 and accordingly the same shall pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the Transferee Company 1 ; and
3. All the liabilities (if any) and duties of Demerged Undertaking 2 be transferred without further act or deed, to the Transferee Company 2 and accordingly the same shall pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the Transferee Company 2 ; and
4. Any proceedings pending by or against the Transferor Company in respect of Demerged Undertaking 1 or/ and Demerged Undertaking 1 be continued by or against the Transferee Company 1 or/ and Transferee Company 2, respectively ; and
5. The Petitioner Companies shall within thirty Days of the date of the receipt of this order cause a certified copy of this order delivered to the Registrar of Companies for registration and the Demerged Undertakings of the Transferor Company shall be deemed to be transferred.

6. Any person shall be at liberty to apply to the Tribunal in above matter for any directions that may be necessary.

The petition stands disposed of in the above terms.

Sd/-

(M.M. KUMAR)

PRESIDENT

08.04.2019

Sd/-

(H.C. SURI)

MEMBER (TECHNICAL)

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